

ence share-keepers have priority claim to a company's assets and dividend compared to ordinary shareholders). According to the government, the equity support will allow RINL to address operational challenges, raise working capital, and gradually achieve its full production capacity of 7.3 million tonnes (MT) per annum (it is now working at half capacity). In a post on X, PM Modi underlined that "this (the revival package) has been done understanding the importance of the steel sector in building an Aatmanirbhar Bharat". Union steel minister H.D. Kumaraswamy and Andhra CM N. Chandrababu Naidu, on their part, say that with the capital infusion, the privatisation of VSP is "off the table".

The Challenges

For the past decade or so, RINL has been grappling with severe financial and operational challenges. Its total liabilities now exceed Rs 35,000 crore (with defaults in loan and interest payments) and workers have not been paid regularly since September 2024. The steel plant began facing issues when VSP expanded its capacity from 3 MTPA to 7.3 MTPA between 2014 and 2017, funded by loans at high interest rates. But the biggest factor has been non-availability/ high prices of raw material. RINL is the only steel plant without its own captive iron ore mines, forcing it to rely on costly raw material from the open market (market price for iron ore starts from Rs 6,000 a tonne; captive mines could provide it for less than half the rate).

Citing the financial challenges, the RINL management has paused all employee benefits and has been delaying salary payments by 20 to 30 days each month (the plant has a workforce of about 12,600 employees and 14,000 casual workers). The steel ministry assesses that the financial plan will allow RINL to retire a portion of its debt, allow restructuring of the rest and provide working capital to trigger the turnaround in a sustainable manner. VSP has been facing severe cash flow issues, to the extent that even accessing imported coking coal for its blast furnaces from warehouses at the Gangavaram and Visakhapatnam ports has been disrupted.

SMELTING POINT

- RINL's disnvestment plan was okayed in 2021, but massive protests led to it being shelved
- On Jan. 17, Rs 11,440 cr. financial package announced to help RINL get back to full production capacity
- Steel plant's liabilities now exceed Rs 35,000 cr., workers have not got regular pay since Sept. 2024
- Plant now working at half of its 7.3 MTPA capacity; lack of captive iron ore mines for raw material puts RINL at a disadvantage
- RINL sitting on 18,000 acres of prime land in Vizag worth Rs 2 lakh crore

Vizag Steel's liabilities now exceed Rs 35,000 cr., and workers have not got regular pay since Sept. 2024. The plant is working at half its capacity of 7.3 MTPA

The Politics

For Naidu, VSP's revival is about keeping a pre-poll promise the TDP had made in 2024. After becoming chief minister, he pursued it with Modi and also persuaded Kumaraswamy to visit the plant on July 11, 2024—the first by a steel minister after the 2021 disinvestment plan fiasco. VSP's future is an emotional issue for the Telugu people as it was borne out of the fire of a 1966 agitation—the clarion call was '*Visaka ukku, Andhrula hakku* (Vizag steel, Andhra people's right)'—and the martyrdom of a number of protesters. The campaign started when the Kothavalasa-Kirandul rail line with its 58 tunnels and 84 major bridges—built with financial aid, including railway communication equipment, from Japan—opened in 1966-67 to transport iron ore from the hinterland Bailadilla mines in Chhattisgarh to the Visakhapatnam port for export. The steel plant movement wanted the iron ore processed in Vizag instead of being exported abroad.

For the TDP, too, VSP is crucial. The party's first-time MP, Sribharat Mathukumilli, was elected from the Visakhaptnam constituency with the biggest margin in the state (504,247 votes), mostly riding on the promise that it would get the steel plant back on track. Palla Srinivasa Rao,